

Mind maps

Unit 3

Don't look back and
ask WHY.

Look ahead and say

WHY NOT

Book Of Quote ©
:: <http://bookofquote88.blogspot.com/> ::

Don't
Think
Too much.

you'll create a
problem that
wasn't even there
in the first place.

Time management is key to success

- Written examination: 2 hours
- 80 marks
- **Section A:** Short- and extended-response questions based on sources (40 marks)
- **Section B:** One 20-mark essay question, based on a source (20 marks)
- **Section C:** One 20-mark essay question, based on a source (20 marks)

It's not
about
"having"
time.
It's about
making
time.



Questions.....

1. Calculate..... (4 marks)
2. Explain (4 marks)
3. Discuss (8 marks)
4. Assess.....(12 marks)
5. Evaluate.....(20 marks)
6. Evaluate.....(20 marks)

Use the case study, when you state something back it up with a suggestion for the business.

Unit 3 sections

- Section 1 – Business objectives & strategy
- Section 2 – Business growth
- Section 3 – Decision making techniques
- Section 4 – Influences on business decision
- Section 5 – Assessing competitiveness
- Section 6 – Managing change

Section 1 Business objectives & Strategy

SMART Objectives Include;
The best type of corporate objectives are said to be SMART. This means they are

- S** – Specific
- M** – Measurable
- A** – Agreed
- R** – Realistic
- T** – Time Specific

E.g. to increase profitability by 7% in the next 2 years

Corporate Objectives
Objectives set by **senior managers** of a company which relate to the **whole business** and **fit into its history, tradition, mission and desired performance**.
E.g. increase market share or profitability levels

Key Areas for Corporate Objectives

Area	Examples
Market	Market share, customer satisfaction, product range
Innovation	New products, better processes, using technology
Productivity	Optimum use of resources, focus on core activities
Physical & financial resources	Factories, business locations, finance, supplies
Profitability	Level of profit, rates of return on investment
Management	Management structure; promotion & development
Employees	Organisational structure; employee relations
Public responsibility	Compliance with laws; social and ethical behaviour

Functional objectives are shorter term targets that support the **corporate objectives** of a business

Functional Objectives
Set for each **key business function** and are designed to ensure that the corporate objectives are achieved

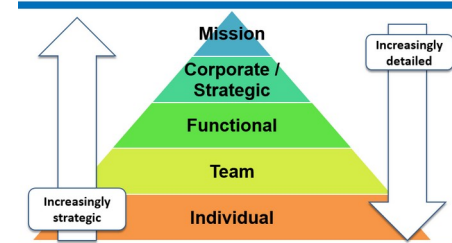
Examples of How Functional Objectives Might Support Corporate Objectives

Corporate Objective	Example Functional Objective
Increase sales	Successfully launch five new products in the next two years (marketing)
Reduce costs	Increase factory productivity by 10% (operations)
Increase cash flow	Reduce the average time taken by customers to pay invoices from 75 to 60 days (finance)
Improve customer satisfaction	Achieve a 95% level of high customer service (people)

Examples of How Functional Objectives Might Support Corporate Objectives

Corporate Objective	Example Functional Objective
Increase sales	Successfully launch five new products in the next two years (marketing)
Reduce costs	Increase factory productivity by 10% (operations)
Increase cash flow	Reduce the average time taken by customers to pay invoices from 75 to 60 days (finance)
Improve customer satisfaction	Achieve a 95% level of high customer service (people)

The Hierarchy of Business Objectives



Section 1 Business objectives & Strategy

Mission Statements are;

- The overriding purpose of the business
- The reason for its existence
- A strategic perspective
- Supports the stated “vision” for the future

Mission statements are **NOT**

- Statement of **goals** or **objectives**
- Statement of core values
- A statement of how the business intends to compete or position itself in the market

Mission and the Hierarchy of Objectives



Ansoffs Matrix

A marketing planning model that helps a business determine its **product** and **market** strategy

This a strategic tool used by marketers who have **objectives of growth**

2 Key choices exist

1. To exploit the product
2. or the market

Benefits	Drawbacks
• It lays out possible strategies for growth • Presentable to stakeholders • Creates a risk aware culture • Indicates level of risk and relevant risk	• Only a theoretical model • Does not take into account external competition • No analysis of companies goals or direction

Market penetration

A growth strategy where a business aims to sell **existing products** into **existing markets**

Product development

A growth strategy where a business aims to introduce **new products** into **existing markets**

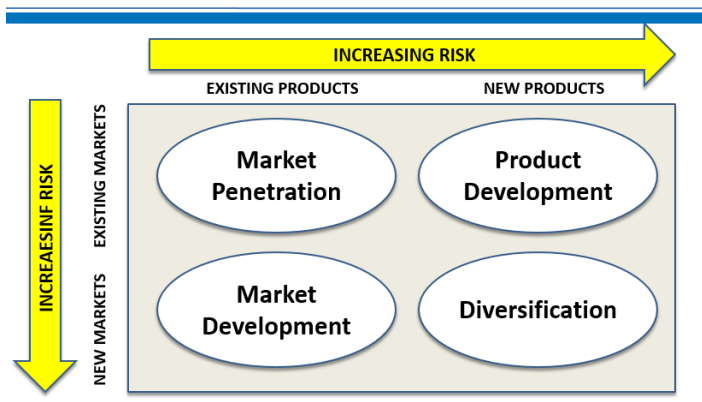
Market development

A growth strategy where the business seeks to sell its **existing products** into **new markets**

Diversification

The growth strategy where a business markets **new products** in **new markets**

Ansoff Matrix – the Grid



Competitive advantage

An advantage over competitors gained by offering consumers **greater value**, either by means of **lower prices** or by providing **greater benefits** and service that **justifies higher prices**

Porters generic strategy

Porter suggested two overall **business strategies** that could be followed in order to gain **competitive advantage**

Low cost strategy

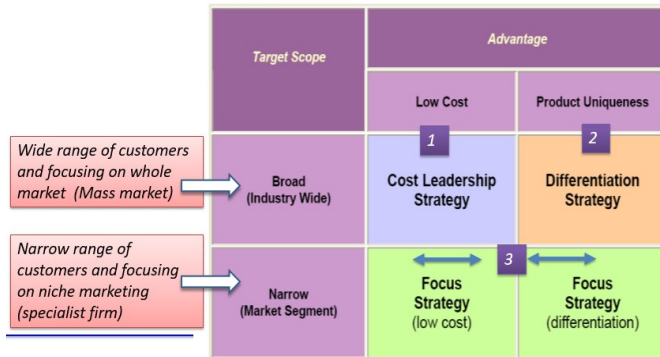
With this strategy, the objective is to become the **lowest-cost operator**. This typically involves production on a large scale which enables the business to exploit **economies of scale, best technology, increase productivity, more skilled workers** etc.

Differentiation strategy

With a differentiation strategy, aims to offer a product that is distinctively **different** or **unique** from the competition, with the **customer valuing** that differentiation enabling to charge higher prices and achieve higher profit margins

Porter's Generic Strategies

<https://youtu.be/i66HWNcwUTs>



Focus strategy

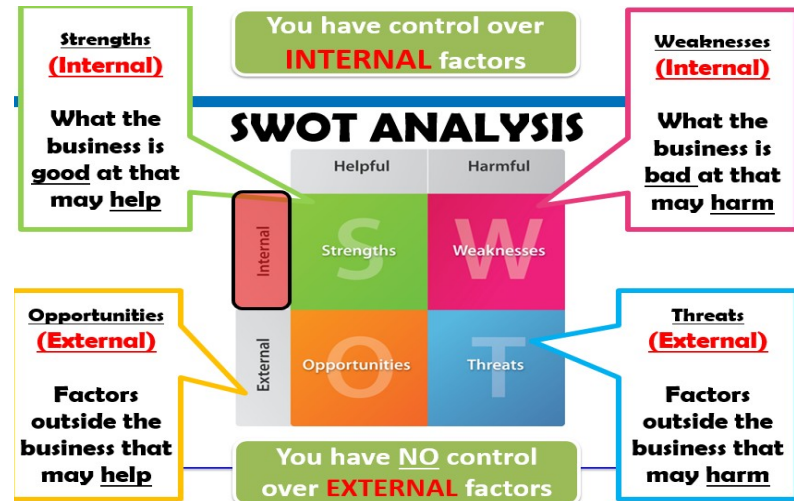
The business targets a **particular segment** or segments and focuses its strategy on **satisfying their needs**. Usually regarded as niche markets concentrate on **cost focus so ultimately price**, whereas with **differentiation focus**, the emphasis is on the **distinctive nature** of the product

Both of these strategies can be looked at in a Broad context (**Mass market**) or a Narrow one (**niche market**)

Section 1 SWOT analysis

SWOT

- A study undertaken by an organization to identify its **internal strengths** and **weaknesses**, as well as its **external opportunities and threats**
- SWOT Analysis helps a business assess its **competitive strength** and the nature of its **external environment**



Internal Audit – This is an analysis of the business and how it operates.

Products, costs, quality, finance, profit, assets, cash flow, capacity, department structures, human resources, training

External Audit – is an analysis of the environment in which the business operates, this audit would deal with; The market, competition, political, economic, social, technological, legal and environmental issues (PESTLE)

How Useful is SWOT Analysis?



Logical structure

Focuses on strategic issues

Encourages analysis of external environment



Too often lacks focus

Independent?

Can quickly become out-of-date

Section 1 Impact of external influences

PESTLE Analysis

PESTLE Analysis is a framework for assessing the key features of the **external environment** facing a business

P

Competition policy

Industry regulation

Govt. spending & tax policies

Business policy & incentives

E

Interest rates

Consumer spending & income

Exchange rates

Business cycle (GDP)

L

Employment Law

Minimum / Living Wage

Health & Safety Laws

Environmental legislation

P

POLITICAL

E

ECONOMIC

S

SOCIAL

T

TECHNOLOGICAL

L

LEGAL

E

ETHICAL / ENVIRONMENTAL

S

Demographic change

Impact of pressure groups

Consumer tastes & fashions

Changing lifestyles

T

Disruptive technologies

Adoption of mobile technology

New production processes

Big data and dynamic pricing

E

Sustainability

Tax practices

Ethical sourcing (supply chain)

Pollution & Carbon Emissions

Examples of PESTLE For apple

P

Controversy re phone security & terrorism

T

Investment in innovation by competitors

E

Economic slowdown in China

L

Global crackdown on tax avoidance

S

Demographic change

E

Ethical sourcing & treatment of suppliers

Organic growth

Organic growth involves expansion **from within a business**, for example by expanding the product range, or number of business units and locations

Section 2 Business Growth

Organic Growth

Growth from **INSIDE** the business

Examples:

New products

New locations

Exporting

Franchising

Inorganic Growth

Growth from **OUTSIDE** the business

Examples:

Takeovers

Mergers

Joint Ventures

Strategic alliances

Characteristics of Businesses that Grow Successfully using Organic Growth



Organic growth

Advantages

Less risk than external growth (e.g. takeovers)

Can be financed through internal funds (e.g. retained profits)

Builds on a business' strengths (e.g. brands, customers)

Allows the business to grow at a more sensible rate

Disadvantages

Growth achieved may be dependent on the growth of the overall market

Hard to build market share if business is already a leader

Slow growth – shareholders may prefer more rapid growth

Franchises (if used) can be hard to manage effectively

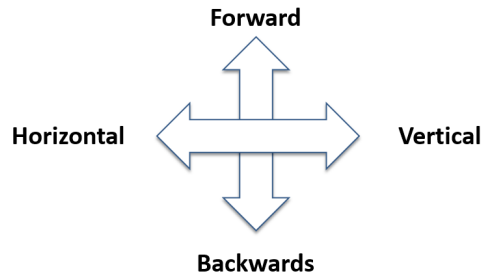
Takeover

A takeover (or acquisition) involves one business **acquiring control** of another business

Reasons for Takeover

- Increase market share
- Acquire new skills
- Access economies of scale
- Acquire intangible assets (brands, patents, trade marks)
- Spread risks by diversifying
- Defend itself against a takeover threat
- Enter new segments of an existing market
- To eliminate competition

Types and Direction of Integration



Directions of Integration

Direction	Explanation
Forward + vertical	Acquiring a business further up in the supply chain – e.g. manufacturer buys a distributor
Backward + vertical	Acquiring a business operating earlier in the supply chain – e.g. a retailer buys a wholesaler
Horizontal	Acquiring a business at the same stage of the supply chain – e.g. a manufacturer buys a competitor
Conglomerate	Where the acquisition has no clear connection to the business buying it

Drawbacks of takeovers

- High cost involved
- Problems of valuation
- Upset customers and suppliers
- Problems of integration (change management)
- Resistance from employees
- High failure rate (90% failure rate)

Benefits of Takeovers

1. Achieve **economies of scale**
2. Cost synergies (**savings**) from the rationalisation of the business
3. **Reduces competition** by removing key rivals – this increases market share and long-run pricing power
4. Gain patents or skills

Why takeovers fail

1. Price paid for takeover was too high (over-estimate of synergies)
2. Lack of decisive change management in the early stages
3. Cultural incompatibility between the two businesses
4. Loss of key personnel & customers post acquisition
5. Competitors take the opportunity to gain market share whilst the takeover target is being integrated

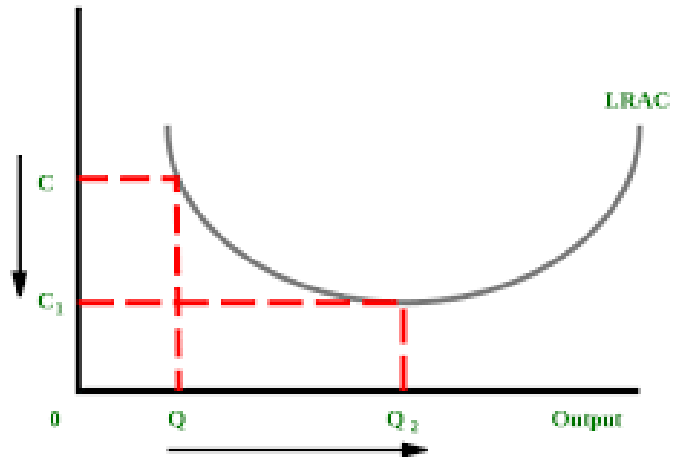
Merger

A merger is a **combination** of two previously separate firms which is achieved by forming a **completely new firm** into which the two original businesses are integrated

Economies of scale

Economies of scale arise when **unit costs fall** as **output increases**

Average Cost



A Reminder of How to Calculate Unit Costs

Average cost per unit is calculated using:

Total production costs in period (£)

Total output in period (units)

Internal v External Economies of Scale

Internal

Arise from the increased output of the business itself

External

Occur within an industry: i.e. all competitors benefit

The Difference between a Merger and a Takeover

Merger

*Involves a **NEW FIRM** being created into which two existing businesses are “merged”*

Takeover

*Involves an **EXISTING FIRM** acquiring more than 50% of another firm and thereby gaining control of it*

Internal Economies of Scale

Purchasing economies	Buying in greater quantities usually results in a lower price (bulk-buying).
Technical	Use of specialist equipment or processes to boost productivity.
Managerial	Specialist managers can be employed to help reduce unit costs and boost efficiency
Marketing	Spreading a fixed marketing spend over a larger range of products, markets and customers
Network	Adding extra customers or users to a network that is already established (e.g. mobile phones)
Financial	Larger firms benefit from access to more & cheaper finance

Diseconomies of scale

lead to a **rise in unit costs**

They happen when a business expands beyond an optimum size and becomes **less efficient**

Diseconomies may be due to:

1. **Control** – problems in monitoring productivity and work quality, increasing wastage of resources
2. **Co-operation** - workers in large firms may develop a sense of alienation and loss of morale
3. **Negative effects of internal politics**, information over-load, unrealistic expectations among managers and cultural clashes between senior people with inflated egos

Overtrading

This happens when a business expands too quickly without having the financial resources to support such a quick expansion.

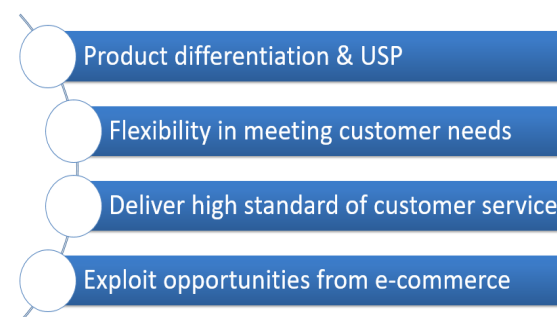
Examples of Diseconomies of Scale



Managing overtrading

Reducing inventory levels
Scaling back the pace of revenue growth
Obtaining better payment terms from suppliers

Some Key Reasons to Stay Small!



Sales forecasting

- **Extrapolation** uses trends established from historical data to forecast the future

Advantages	Disadvantages
A simple method of forecasting	Unreliable if there are significant fluctuations in historical data
Not much data required	Assumes past trend will continue into the future – unlikely in many competitive business environments
Quick and cheap	Ignores qualitative factors (e.g. changes in tastes & fashions)

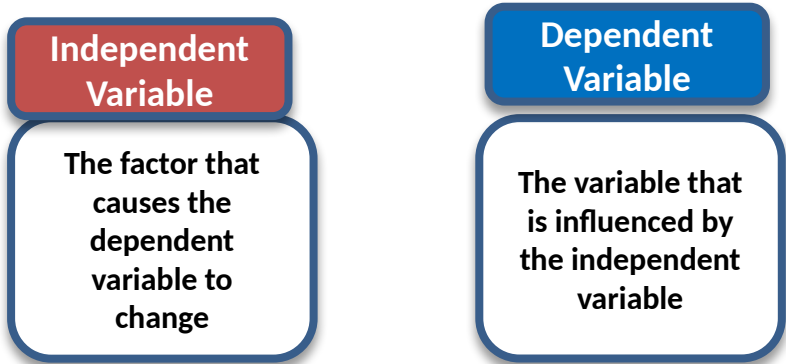
Sales forecasting could be inaccurate

- Business is new – a startup (notoriously difficult to forecast sales)
- Market subject to significant disruption from technological change
- Demand is highly sensitive to changes in price and income (elasticity)

Section 3 Decision making techniques

Sales forecasting

Correlation looks at the **strength of a relationship** between two variables



Types of Correlation

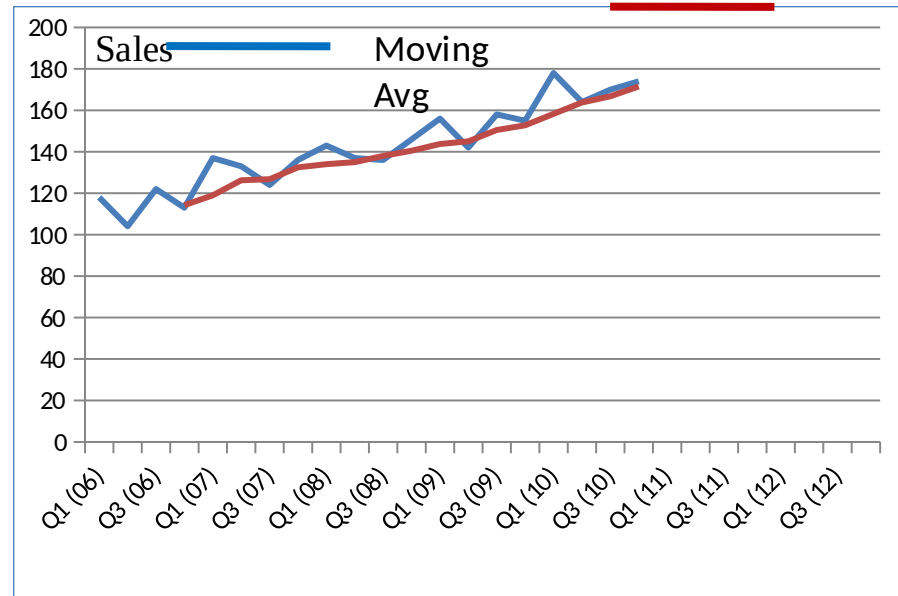
Positive correlation	A positive relationship exists where as the independent variable increases in value, so does the dependent variable
Negative correlation	A negative relationship exists where as the independent variable increases in value, the dependent variable falls in value
No correlation	There is no discernible relationship between the independent and dependent variable

Moving Averages

A **moving average** takes a data series and “**smoothes**” the **fluctuations** in data to show an average

The aim is to take out the extremes of data from period to period

Month	Temp. (°F)	Moving average
Jan	39	
Feb	42	
Mar	50	44
Apr	60	51
May	71	60
Jun	79	70
Jul	85	78
Aug	81	82
Sep	76	81



Section 3 Decision making techniques

Investment appraisal-

The process of analysing whether investment projects are worthwhile

The payback period

Is **the time** it takes for a project to **repay its initial investment**

Month of payback = $\frac{\text{Income required}}{\text{Contribution per month}}$

Benefits of Using Payback Period...

- Simple and easy to calculate + easy to understand the results
- Focuses on cash flows
- Emphasises speed of return; good for markets which change rapidly
- Straightforward to compare competing projects

Drawbacks of Using Payback Period...

- Ignores cash flows after payback has been reached
- Takes no account of the "time value of money"
- May encourage short-term thinking
- Ignores qualitative aspects of a decision
- Does not actually create a decision for the investment

Annual average return

The ARR is the annual **percentage return** on an investment project based on **average returns** earned by the project

Calculating ARR

$$\text{ARR (\%)} = \frac{\text{Total net profit / No years}}{\text{Initial cost}} \times 100$$

Example Project

Total net profit (5 years) = £1,350,000
Divided by project life = £1,350,000 / 5
= £270,000
Divided by the initial cost (£2,000,000) = £270,000 / £2,000,000 = **13.5%**

tutor2u

How to Calculate & Interpret ARR

- Step 1:** calculate the average annual profit from the investment project
- Step 2:** divide the average annual profit by the initial investment ("outlay")
- Step 3:** compare with the target percentage return

Benefits of Using ARR...

- Simple to understand and easy to calculate
- Focuses on the overall profitability of an investment project
- Easy to compare ARR with other key target rates of return to help make a decision
- Uses all the returns generated by a project

Drawbacks of Using ARR...

- Ignores the timing of returns
- Focuses on profits rather than cash flows
- Does not adjust for the time-value of money

Section 3 Decision making techniques

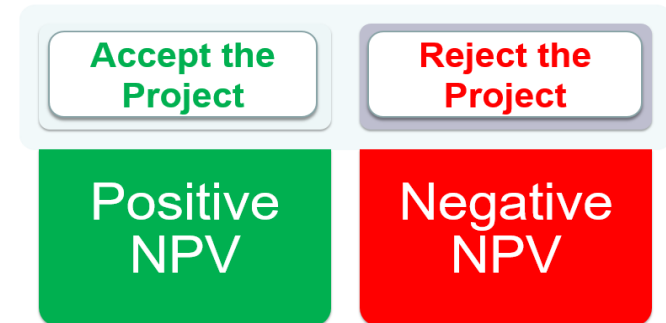
Net present Value

Net present value ("NPV") calculates the **monetary value now** of a project's future cash flows

Discounting cash flow

Discounting is the method used to reduce the **future value of cash flows** to reflect the **risk** that they may not happen

The NPV Decision



Benefits of Using NPV...

- Considers all future cash flows
- Reflects the risks that future cash flows will not be as expected
- Different levels of risk can be accounted for by adjusting the discount rate
- Creates a straightforward decision - positive NPV suggests project should go ahead

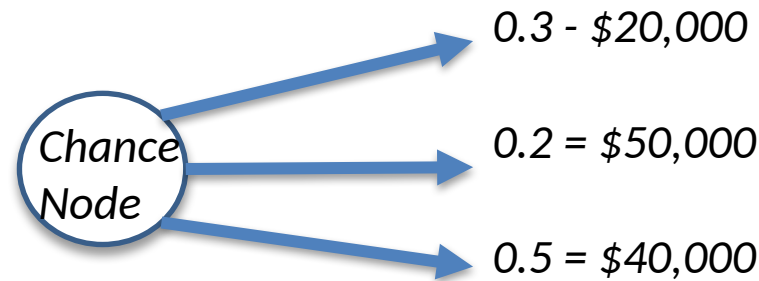
Drawbacks of Using NPV...

- The most complicated method compared with Payback & ARR
- Choosing the discount rate is hard, particularly for long projects
- Result can be influenced / manipulated using the discount rate

Section 3 Decision making techniques

Decision tree

- A mathematical model
- Used to help **managers make decisions**
- Uses **estimates** and **probabilities** to calculate likely outcomes
- Helps to decide whether the **net gain** from a decision is worthwhile



Advantages of Decision trees

- Potential options & choices are considered at the same time
- Use of probabilities enables the “risk” of the options to be addressed
- Likely costs are considered as well as potential benefits

Usefulness - Possible answers

1. **Quantifies decisions** – may be better than qualitative information
2. **Use of probability** – Reduce risk
3. **Outcomes and probabilities are not fact** – how produced?
4. **Allows to consider variety** of options not previously considered

Expected value	The financial value of an outcome calculated by multiplying the estimated financial effect by its probability
Net gain	The value to be gained from taking a decision. Calculated by adding together the expected value of each outcome and deducting the costs associated with the decision

Disadvantages of Decision trees

- Probabilities are just estimates
- Uses quantitative data only – ignores qualitative aspects of decisions
- Assignment of probabilities and expected values prone to bias

Section 3 Decision making techniques

Critical path analysis

CPA is a **project analysis** and **planning** method that allows a project to be completed in the shortest possible time

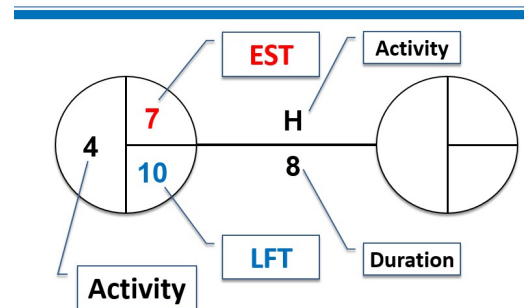
Critical Path

The sequence of project activities which add up to the **longest overall duration**

The critical path determines the shortest time possible to complete the project

Component	Description
Node	A circle that represents a point in time where an activity is started or finished. The node (circle) is split into three sections:
	The left half of the circle is the unique node (activity) number – the network diagram draws these in order The top right section shows the earliest start time (EST) that an activity can commence based on the completion of the previous activity The bottom right section shows the latest finish time (LFT) by which the previous activity must be completed
Activities	An activity is something that takes time. An activity is shown on the network as a line , linking the nodes (circles). A description of the activity, or a letter representing the activity, is usually shown above the relevant line
Duration	The length of time it takes to complete an activity – shown as a number of the relevant units (e.g. hours, days) under the activity line

The Network Diagram - Layout



TOTAL FLOAT

This is the amount of spare time available for an activity without delaying the WHOLE PROJECT

$$\text{Total Float} = \text{LFT} - \text{Duration} - \text{EST}$$

Importance of critical path analysis

- Estimate and minimise project time
- Support project costing and evaluation
- Plan and organise resources
- Prioritise tasks
- Help provide direction (more motivating?)

Advantages of CPA

- Formally identifies tasks which must be completed on time for the project to finish on time (**Critical path**)
- Also identifies which task can be delayed for a while if resource needs to be reallocated to catch up on missed tasks (**Floats**)
- Identify the minimum length of time needed to complete a project (**Duration of project**)
- Helps minimise costs (**Resource allocation/liquidity**)

Limitations of Network Analysis (CPA) ^{HL}

- A. The construction of a CPA doesn't guarantee that everything will go according to plan (ex: motivation levels are not considered).
- B. Is useful only if the data used to construct the network is accurate and reliable.
- C. If necessary steps are missed in the CPA, the critical path identified will be invalid.
- D. Constructing a CPA for huge-scale projects can be very complex, highly challenging and time consuming (some software programs are provided to facilitate the process).

Disadvantages of CPA

- The relationship of tasks to time is not as immediately obvious
- Can be difficult to understand
- External factors also influence success



Contribution

It is the amount of money left over from a sale after variable costs have been covered.

Contribution = Sales – Variable costs

Note: Contribution is not profit

Calculating total and unit contribution

1. Unit Contribution

We sell one ipad for \$100 and variable costs are \$50.

Contribution per unit = $Sp - VC$ ($100 - 50 = \$50$)

2. Total contribution

So as per above but we sell 5000 ipads so in this case.

Total contribution = $(TSR = \$100 \times 5000 = \$500,000)$

minimum $(TVC = \$50 \times 5000 = \$250,000)$

Total contribution towards fixed costs = \$250k

Contribution and target profit

• Calculate the profit achieved

Profit = (Total Contribution – fixed costs)

• Using Contribution and profit target

Output = $(FC + \text{profit target}) / \text{contribution}$

So target profit is \$5000, fixed costs are \$30,000 and Selling price \$45, variable cost \$10

Output = $(\$30,000 + \$5,000) / \$35 = 1000$ units need to be sold to make profit

Why calculate contribution

1. **Break even level of output** – what does a business need to do to break even $(FC / (SP - VC))$
2. **Set targets for output and profitability**
3. **Calculate the profit achieved so**
Profit = (Total Contribution – fixed costs)
4. **Decide what price to charge for a product**
(What if analysis)
5. **Useful in special orders**

Special orders – These are one off orders which a business may receive and can be useful to look at contribution to make a decision.

Rules of contribution with special orders

1. If a special order has a positive contribution (contribution pricing) then should be accepted
2. Companies will also need to consider qualitative factors for this decision.

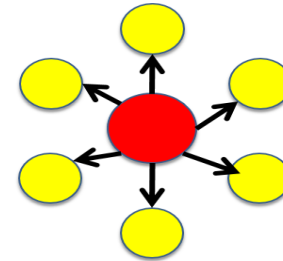
Section 4 Influences on business decisions

Culture

Company culture is the personality of a **company**. It defines the environment in which employees work. **Company culture** includes a variety of elements, including work environment, **company** mission, value, ethics, expectations, and goals.

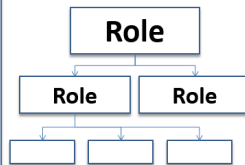
Power Culture

- Control radiates from the centre
- Concentrates power among a few
- Few rules and little bureaucracy
- Swift decisions are possible



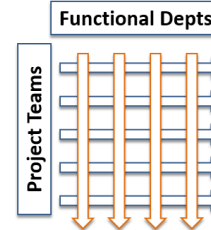
Role Culture

- People have clearly delegated authorities within a highly defined structure
- Hierarchical bureaucracy
- Power derives from a person's position
- Little scope exists for expert power



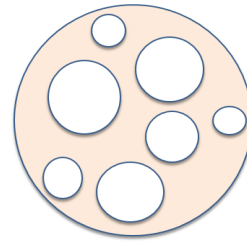
Task Culture

- Teams are formed to solve particular problems
- Power derives from expertise as long as a team requires expertise
- No single power source
- Matrix organisation
- Team may develop own objectives (a risk)



Person culture

- People believe themselves to be superior to the business
- Business full of people with similar training, background & expertise
- Common in firms of professionals – e.g. accountants & lawyers
- Power lies in each group of individuals



Culture Types and Leadership style

Cultural Type	Suitable Leadership Style?
Power	Autocratic
Role	Autocratic or paternalistic
Task	Paternalistic / democratic
Person	Democratic

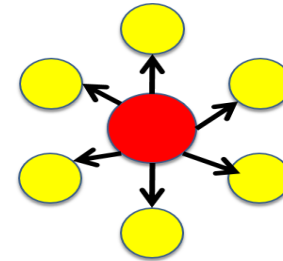
Section 4 Influences on business decisions

Culture

Company culture is the personality of a **company**. It defines the environment in which employees work. **Company culture** includes a variety of elements, including work environment, **company** mission, value, ethics, expectations, and goals.

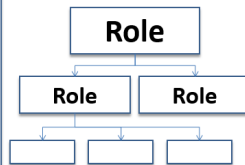
Power Culture

- Control radiates from the centre
- Concentrates power among a few
- Few rules and little bureaucracy
- Swift decisions are possible



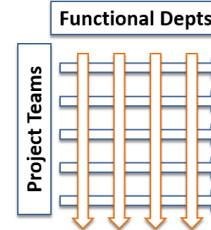
Role Culture

- People have clearly delegated authorities within a highly defined structure
- Hierarchical bureaucracy
- Power derives from a person's position
- Little scope exists for expert power



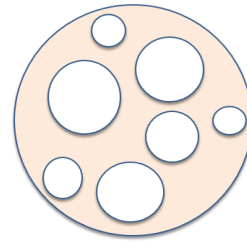
Task Culture

- Teams are formed to solve particular problems
- Power derives from expertise as long as a team requires expertise
- No single power source
- Matrix organisation
- Team may develop own objectives (a risk)



Person culture

- People believe themselves to be superior to the business
- Business full of people with similar training, background & expertise
- Common in firms of professionals – e.g. accountants & lawyers
- Power lies in each group of individuals



Culture Types and Leadership style

Cultural Type	Suitable Leadership Style?
Power	Autocratic
Role	Autocratic or paternalistic
Task	Paternalistic / democratic
Person	Democratic

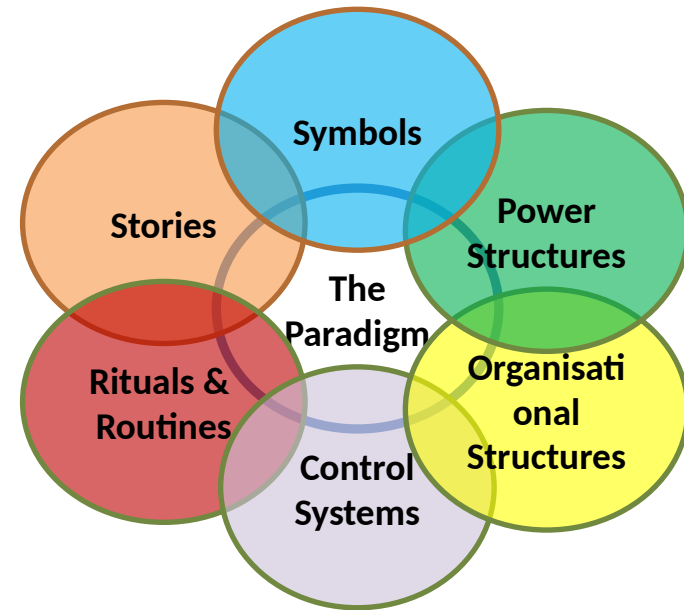
Features of strong culture

- A source of competitive advantage
- Clear set of values, mission & goals
- Performance-orientated
- Encourages suitable risk-taking & innovation
- Strong internal communication
- Engaged employees: higher motivation & loyalty
- Better connection between depts. & divisions
- Not easily copied

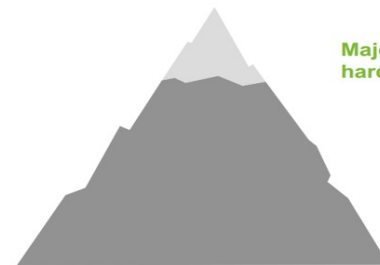
Features of weak culture

- Little alignment with business values
- Inconsistent behaviour
- A need for extensive bureaucracy & procedures

The Cultural Web of an Organisation



Culture change is hard – most attempts encounter problems & resistance



Major culture overhauls are hard to do and often fail

It's a long race — culture evolves slowly

Momentum is hard to sustain

Only attempt a major overhaul if it is really necessary

Stakeholder

A stakeholder is any individual or organisation who has a **vested interest** in the **activities and decision making** of a business.

The stakeholder concept

- This is taking into account views of **all stakeholders**

Section 4 Influences on business decisions

Difference Between Stakeholders and Shareholders

Stakeholders	Shareholders
- Have an interest in the business – but do not own it - May work for (employees) or otherwise transact with the business	- Own the business - May also work in the business Mainly interested in growing the value of their shareholding (return)

Examples of Stakeholders Can be Grouped into...

INTERNAL: internal to the business

- Employees
- Shareholders /owners

CONNECTED: connected by a relationship based on a contract

- Customers
- Suppliers
- Creditors

EXTERNAL: relationship not based on a legal contract

- Competitors
- Government
- Society/ the wider community

Potential Conflicts between Stakeholders

Business Decision	Likely to be Supported By	Possibly Opposed By?
Cut jobs to reduce costs	Shareholders Banks	Employees Local community
Add extra shifts to increase factory capacity	Management Customers & suppliers	Local community
Introduce new machinery to replace manual work	Customers Shareholders	Employees
Increase selling prices significantly to improve profit margins	Shareholders Management	Customers

What are Business Ethics

Moral guidelines which govern acceptable behaviour

Ethical behaviour is doing what is morally right

Benefits and drawbacks of behaving ethically

Benefits

- Higher revenues – demand from positive consumer support
- Improved brand and business awareness and recognition
- Better employee motivation and recruitment
- New sources of finance – e.g. ethical investors

Possible Drawbacks

- Higher costs – e.g. sourcing from Fairtrade suppliers rather than lowest price
- Higher overheads – e.g. training & communication of ethical policy
- A danger of building up false expectations

Section 4 Influences on business decisions

Common areas where ethics are tested



Different approaches to ethics

The **amoral** business

- Seeks to win at all costs
- Anything is acceptable

The **legalistic** business

- Will obey the law but no more than that

The **responsive** business

- Accepts that being ethical can pay off

The **ethical** business

- Ethical practice is at the core of the business

Corporate social responsibility

CSR is about responsibility to all stakeholders and not just shareholders
Ethics is about morally correct behaviour

CSR is Called Many Different Things

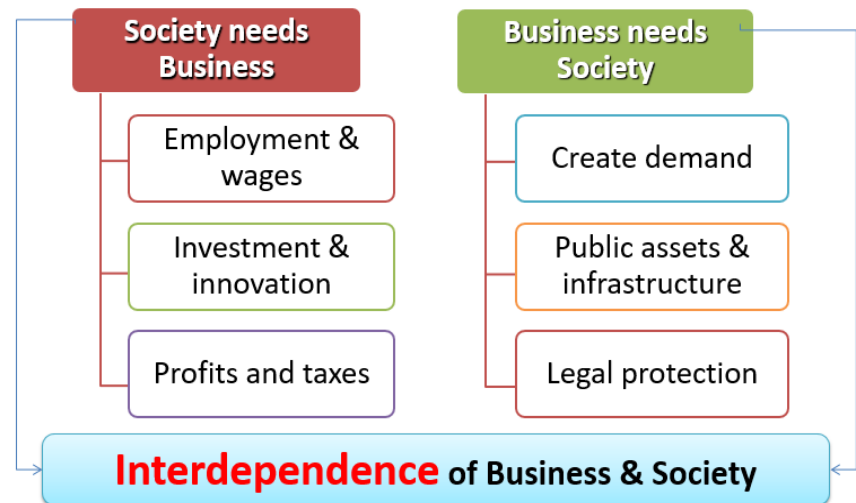


So CSR is the **extent** to which a **business addresses** the concerns and obligations to its **wider stakeholders**

Ethics concern actions which can be assessed as **right or wrong** by reference to moral principles

CSR is about the **organisation's obligations** to all stakeholders – and not just shareholders

CSR is Based on the Idea that the Needs of Business & Society are Interdependent



Section 5 Assessing competitiveness

Statement of comprehensive income

A historical record of the trading of a business over a specific period (normally one year)

Shows the **profit or loss** made by the business – which is **the difference between the firm's total income and its total costs**

An Example of a Real Income Statement: Apple Inc.

Revenue	\$233.7bn
Cost of Sales	\$140.1bn
Gross Profit	\$93.6bn
Overheads	\$22.4bn
Operating Profit	\$71.2bn
Finance Costs / Income	\$1.3bn
Profit before Tax	\$72.5bn

Who	Interest
Shareholders	How much profit is our business making? How much profit can be distributed to us in dividends?
Competitors	What is the profit (amount) and profitability (% margin)? Is the business more efficient or does it add more value?
Government	How much tax should this business pay on its profits
Employees	How secure is the business in terms of profit or loss If bonuses are based on profit, has it been achieved?

Key areas of P&L account

- Revenue
- Cost of sales
- Gross profit
- Expenses
- Operating profit
- Finance costs
- Profit before tax
- Tax
- Profit to shareholders

Statement of financial position

This is a **snapshot** of the business' **assets** (what it owns or is owed) and its **liabilities** (what it owes) on a particular day - usually the last day of a financial period

Who	Interest
Creditors	What is the liquidity position of the business? Is the business able to pay its debts as they fall due?
Banks & other lenders	How much debt does the business have (gearing)? Is it able to finance its debt What cash and other liquid balances does it have?
Employees	Is the business solvent? Does the business have a suitably strong liquidity position?

Working capital

the capital of a business which is used in its day-to-day trading operations, calculated as the current assets minus the current liabilities.

Key areas of P&L account

- Non current assets
- Current Assets
- Current liabilities
- Non current liabilities
- Net assets
- Working capital

Ratio analysis

involves the comparison of **financial data** to gain insights into **business performance**

Profit Margin Formula

$$\text{Gross Profit Margin Ratio} = \frac{\text{Gross Profit}}{\text{Net Sales}} \times 100$$

$$\text{Operating Profit Margin Ratio} = \frac{\text{Operating Profit}}{\text{Net Sales}} \times 100$$

$$\text{Net Profit Margin Ratio} = \frac{\text{Net Income}}{\text{Net Sales}} \times 100$$

Return on Capital Employed

$$\text{ROCE (\%)} = \frac{\text{Operating profit}}{\text{Capital employed}} \times 100$$

Example

Operating profit = £280,000
 Capital employed = £1,400,000
 ROCE = £280,000 / £1,400,000 = 20%

Profitability ratios

Are financial metrics used by analysts and investors to measure and evaluate the ability of a company to generate income (profit) relative to revenue, balance sheet assets.

Profitability ratio

- Gross profit ratio : establishes relationship between gross profit and revenue from operations
- Net profit ratio : expresses relationship between net profit earned and revenue from operations
- Operating ratio : computed to show relation between operating costs and revenue from operations
- Operating profit ratio : measures relationship between operating profit and revenue from operations

Liquidity

Financial **liquidity** refers to how easily assets can be converted into cash.

Current ratio

$$\text{Current ratio} = \frac{\text{Current assets}}{\text{Current liabilities}}$$

Example

Current assets = £6,945k
Current liabilities = £3,750k
Current ratio = 1.85

tutor2u

Acid test ratio

$$\text{Current ratio} = \frac{\text{Current assets less stocks}}{\text{Current liabilities}}$$

Example

Current assets = £5,620k
Current liabilities = £3,750k
Acid test ratio = 1.50

tutor2u

The Importance of Liquidity

- ☐ Whilst profit is important it is not the same as cash, you need cash to pay the bills
- ☐ Liquidity is a measure of how quickly a company can turn their assets into cash in order to meet its liabilities as they fall due
- ☐ By assets, we mean Current Assets (Inventory)
- ☐ Without cash to pay the bills or interest creditors (and in particular banks) will eventually force you into liquidation

Gearing Ratio

“Gearing” measures the **proportion** of a business’ capital (finance) provided by **debt**

Capital Structure Objective:
The Debt / Equity Ratio

*This the proportion (percentage) of a business’ capital made up from
EQUITY and **DEBT***

BUSINESS A £'000		BUSINESS B £'000	
<i>Debt</i>	<i>200</i>	<i>Debt</i>	<i>600</i>
<i>Equity</i>	<i>800</i>	<i>Equity</i>	<i>400</i>
= 25%		= 150%	

The Gearing Ratio (%)

Gearing % =

$$\frac{\text{Non-current liabilities}}{\text{Total equity + non-current liabilities}} \times 100$$

Usefulness of gearing

Measure of the financial health of a business
Focuses on the level of debt in the financial structure of a business

High gearing can mean high business **risk** (but not always)

Benefit of high gearing

- Less capital required to be invested by the shareholders
- Debt can be a relatively cheap source of finance compared with dividends
- Easy to pay interest if profits and cash flows are strong

Benefits of low gearing

- Shareholders rather than debt providers “call the shots”
- Business has the capacity to add debt if required

Section 5 Assessing competitiveness

Human resources

This deals with planning the people resources within a business from finding right skilled people for right jobs to productivity

Key Measures of HR Performance

Labour Turnover & Staff Retention

Percentage of staff who leave during a period

Labour Productivity

Output per Employee

Absenteeism

Percentage of staff who are absent from work

Labour turnover

The percentage of the workforce (employees) that leave a business within a given period (usually a year)

$$\frac{\text{Number of employees leaving during period}}{\text{Average number employed during period}} \times 100$$

Labour productivity

Workforce productivity is the amount of goods and services that a group of workers produce in a given amount of time.

Labour Productivity Formula

Labour productivity is calculated using this formula:

$$\frac{\text{Output per period (units)}}{\text{Number of employees at work}}$$

The answer from the formula is usually expressed in terms of output per employee

e.g. 1,000 units per employee per month

Importance of productivity

- Labour costs are usually a significant part of total costs
- Business efficiency and profitability are closely linked to productive use of labour
- In order to remain **competitive**, a business needs to keep its unit costs down

Absenteeism

is an employee's intentional or habitual absence from work

Tackling absenteeism

- Understand the causes
- Set targets and monitor trends
- Have a clear sickness & absence policy
- Provide rewards for good attendance
- Consider the wider issues of employee motivation

Absenteeism Formula (1)

Absenteeism calculated using this formula:

$$\frac{\text{Number of staff absent during period}}{\text{Number employed during period}} \times 100$$

Empowerment

Giving employees the power to do their job

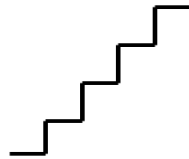
- Concept closely linked to motivation and customer service
- Employees need to feel that their actions count

Change management

involves the **process** that ensures a business responds to the **environment** in which it operates

Incremental Change

- Many small changes which take place as a business develops and responds to subtle changes in the external environment
- Usually involves little resistance
- Arises as strategy develops

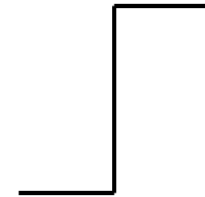


Internal Change

- New leadership
- New ownership/takeover
- Change in strategic direction & corporate objectives
- Significant investment decisions
- Changes to scope of business activities
- Change in organisational structure

Step Change

- Dramatic or radical change in one fell swoop
- Often required when a business has suffered from **strategic drift**
- Often involves significant alteration in the business
- Gets it over with quickly / decisively
- May require some coercion to overcome resistance



Step change
Significant &
occurs rapidly

Internal Causes of Change

Arise from factors **within the control** of the business – i.e. the decisions taken by business management

External Causes of Change

Arise from factors **outside the control** of the business – i.e. as a result of changes in the external environment

External Change

Significant competitor actions ie. merger
Political & legal changes (new government)
Significant changes in economic (Brexit)
Social changes to lifestyles, demographics)
Technological change

Why change culture

- Market changes (growth, competitors)
- Political & legal environment
- Change in societal views
- Change of ownership (e.g. takeover)
- Change of management or leadership (e.g. a new CEO)
- Economic conditions (e.g. downturn)

Disruptive change impacts the market as a whole, challenging the established “business model” (i.e. how products and services are sold)

Rapid improvements in technology are the main driver of disruptive change since technological innovation provides new ways of delivering goods and services as well as reducing barriers to market entry

Resistance to Change

Kotter & Schlesinger suggest that there are four main reasons why change is resisted:

Self-interest

**Different Assessment
of the Situation**

**Low tolerance for
change & Inertia**

**Misinformation &
Misunderstanding**

Contingency planning

A **contingency plan** is a course of action designed to help an organization respond effectively to a significant future event or situation that may or may not happen.

A **contingency plan** is sometimes referred to as "**Plan B**," because it can be also used as an alternative for action if expected results fail to materialize.

Proactive Management

is when management plan strategies ahead of them occurring e.g. Planning for growth in advance, plan for fire

Reactive approach

Is when management react to change which can consist of a down turn in economy, arrival of new competitors

Contingency plans steps to success

1. Carryout risk assessment
2. Identify the impact on the business of risk occurring
3. Identify alternative solutions
4. Highlight cost of each solution
5. Create an action plan to deal with crises
6. Establish training to implement contingency plan
7. Let people know what to do
8. Carry out assessment of adequacy of contingency plans

Risk management

- Identifying what and how things can and might go wrong
- Understanding the potential effects if things go wrong
- Devising **scenario plans** to cope with the threats
- Putting in place strategies to deal with the risks before they happen

Scenario planning

strategic **planning** method that some organizations use to make flexible long-term **plans**.

- **It** involves:
- Preparing for predictable and quantifiable problems
- Preparing for unexpected and unwelcome events

Common Approaches to Day-To-Day Risk Management

Area	Risk Management Action
Marketing	Avoid over-reliance on customers or products Develop multiple distribution channels Test marketing for new products
Operations	Hold spare capacity Quality assurance & control
Finance	Insurance against bad debts Investment appraisal techniques
People	Key man insurance – protect against loss of key staff Rigorous recruitment & selection procedures